the following year. In other words, the random selection did a better job of keeping winners and tossing losers than the fund manager did.

Just as fascinating: When the researchers created a similar counterfactual portfolio, only randomizing the buys, it underperformed the active strategy. When compared with randomized buys or sells of existing portfolio holdings, managers demonstrated genuine skills—but only when making their buys; they showed little or no skill when making their sells.

This has profound ramifications for active managers, but also shows a path toward improvement. If this group hopes to regain market share and fee-generating assets versus the uninterrupted trend toward low-cost indexing, they must become as skilled and disciplined at selling as they are at buying. Given the results of this study, they have a lot of work to do.

What would your portfolio look like if you were the world's greatest trader? How well do you think you will have done versus those low-cost indexers? I promise you the answer to these questions is stunning.

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224 Akepanidtaworn Klakow, Rick Di Mascio, Alex Imas and Lawrence Schmidt, "Selling Fast and Buying Slow: Heuristics and Trading Performance of Institutional Investors," ssrn.com (September 1, 2019).

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Barber and Odean, "The behavior of individual investors," in *Handbook of the Economics of Finance*, Vol. 2, Part B (Elsevier, 2013), pp. 1533–1570. See also: D. Grosshans, F. Langnickel, and S. Zeisberger, "The Role of Beliefs in Trading Decisions," (2018).